Docusign Envelope ID: 23198488-C9CB-8328-832D-757EC26EDB3E

REGISTERED NUMBER: 04089112 (England and Wales)

Strategic Report, Report of the Directors and

Financial Statements for the Year Ended 31 December 2025

for

Savoy Cinemas Limited



Docusign Envelope ID: 23198488-C9CB-8328-832D-757EC26EDB3E

Savoy Cinemas Limited (Registered number: 04089112)

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for the Year Ended 31 December 2025

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Savoy Cinemas Limited

Company Information
for the Year Ended 31 December 2025

DIRECTORS:	Dr J R Collington M A Welberry
REGISTERED OFFICE:	233 Derby Road Nottingham Nottinghamshire NG7 1QN
REGISTERED NUMBER:	04089112 (England and Wales)
AUDITORS:	PKF Smith Cooper Audit Limited Statutory Auditors 1 Prospect Place Millenium Way Derby Derbyshire DE24 8HG

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Savoy Cinemas Limited (Registered number: 04089112)

Strategic Report
for the Year Ended 31 December 2025

The directors present their strategic report for the year ended 31 December 2025.

REVIEW OF THE BUSINESS AND FUTURE DEVELOPMENTS
"It is often the small steps, not the giant leaps, that bring about the most lasting change." *1

The directors are pleased to report another excellent set of accounts for 2025, with further sustained growth of both EBITDA and Balance Sheet.

The early months of 2025 showed a significant uplift on the corresponding period in 2024, continuing to demonstrate the power of the big screen experience that only cinema can provide. Titles included A Minecraft Movie, Bridget Jones: Mad About the Boy & Lilo & Stitch. That positive start to the year was not matched during the second half of the year due to a weaker slate, with the underperformance of a number of titles leading to the erosion of that early gain. Consequently, the complete year across the sector was only marginally higher than the previous year.

Looking ahead, the first 8 months of 2026 have outperformed the same period for 2025, with a comprehensive upcoming slate of further blockbusters including Avengers Doomsday & Dune: Part Three now looking very likely to result in a more significant overall increase when compared to 2025.

The post-pandemic trend of increasing theatrical windows has continued and is now typically between 40 and 60 days, with significantly longer periods for some major films. This is a welcome continuation, encouraging patrons to see films as they were meant to be seen - on the big screen.

During 2025, Savoy completed the flagship town centre redevelopment of Gainsborough in partnership with West Lindsey District Council, ultimately leading to the addition of the freehold of the new Savoy Cinema and car park, in the heart of the town centre, to the company's portfolio. The cinema opened in July 2025 and has delivered solid trading figures, in-line with expectations.

For the existing estate, the completion of Grantham's upgrade to luxury seating was concluded, along with a large solar and battery storage system being added to that site to continue the company's drive on sustainability. Significant improvements continue to be made to HVAC systems, in order to further reduce our carbon footprint.

The company is currently progressing a further freehold development, due to open early 2028, and continues to assess the market for further opportunities. Healthy cash reserves, with no bank debt, have been maintained.

*1 With acknowledgement to Queen Elizabeth II

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PRINCIPAL RISKS AND UNCERTAINTIES

The Board has reviewed the principal risks and uncertainties faced by the Company which are summarised as follows:

Alternative media streams
Continuing development of technology is increasing competition as they offer alternative methods of film releasing which could reduce revenue.

Timeliness and appeal of film releases
A low level and appeal of film releases to the customer could reduce revenue.

Revenue from retail sales
Retail sales can fluctuate in line with admissions, therefore if admissions fall so could revenue from retail sales.

Revenue from screen advertising
Competitive pressure for advertising spending, if admissions fall then cinema advertising may not be seen to be an effective form of spending and therefore reducing advertising revenue.

Regulatory breaches
The Company is affected by regulations within environment, health and safety, licensing, food and drink, data protection and minimum wage. Failure to comply with such regulations could result in fines or loss of activity.

Extreme weather
Unusual weather patterns can directly affect attendance and therefore revenue.

The board regularly monitor and react to the principal risks and uncertainties faced by the Company in order to reduce the risk and any impact on revenue.

KEY PERFORMANCE INDICATORS

The Board monitors the progress of the Company against its strategic objectives by reference to a number of Key Performance Indicators (KPI's). The KPI's that the Board monitor are turnover and EBITDA as detailed below:

	2025	2024
	£	£
Turnover	**8,604,983**	7,444,261
EBITDA		
Operating profit	**1,826,114**	1,787,199
Depreciation	**614,079**	441,961
	2,440,193	2,229,160

For further comments on turnover please refer to the review of the business and future developments within this strategic report.

ON BEHALF OF THE BOARD:

J R Collington

Dr J R Collington - Director

Date: 16/09/2026

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Savoy Cinemas Limited (Registered number: 04089112)

Report of the Directors
for the Year Ended 31 December 2025

The directors present their report with the financial statements of the Company for the year ended 31 December 2025.

DIVIDENDS
Dividends of £710,000 (2024: £3,308,831) were paid to the parent Company - Collington Holdings Limited in the year.

DIRECTORS
The directors shown below have held office during the whole of the period from 1 January 2025 to the date of this report.

Dr J R Collington
M A Welberry

DONATIONS
Donations of £5,255 (2024: £5,785) were made in the year to UK charities.

STATEMENT OF DIRECTORS' RESPONSIBILITIES
The directors are responsible for preparing the Report of the Directors and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law), including Financial Reporting Standard 102 'The Financial Reporting Standard applicable in the UK and Republic of Ireland'. Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Company and of the profit or loss of the Company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the Company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

STATEMENT AS TO DISCLOSURE OF INFORMATION TO AUDITORS
So far as the directors are aware, there is no relevant audit information (as defined by Section 418 of the Companies Act 2006) of which the Company's auditors are unaware, and each director has taken all the steps that he ought to have taken as a director in order to make himself aware of any relevant audit information and to establish that the Company's auditors are aware of that information.

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Savoy Cinemas Limited (Registered number: 04089112)

Report of the Directors
for the Year Ended 31 December 2025

AUDITORS
The auditors, PKF Smith Cooper Audit Limited, will be proposed for re-appointment at the forthcoming Annual General Meeting.

ON BEHALF OF THE BOARD:

J R Collington

Dr J R Collington - Director

Date: 16/09/2026

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Report of the Independent Auditors to the Members of Savoy Cinemas Limited

Opinion

We have audited the financial statements of Savoy Cinemas Limited (the 'Company') for the year ended 31 December 2025, which comprise the Statement of comprehensive income, the Balance sheet, the Statement of changes in equity and the related notes, including a summary of significant accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including Financial Reporting Standard 102 'The Financial Reporting Standard applicable in the UK and Republic of Ireland' (United Kingdom Generally Accepted Accounting Practice).

In our opinion the financial statements:
- give a true and fair view of the state of the Company's affairs as at 31 December 2025 and of its profit for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the Auditors' responsibilities for the audit of the financial statements section of our report. We are independent of the Company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the United Kingdom, including the Financial Reporting Council's Ethical Standard and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Conclusions relating to going concern

In auditing the financial statements, we have concluded that the director's use of the going concern basis of accounting in the preparation of the financial statements is appropriate.

Based on the work we have performed, we have not identified any material uncertainties relating to events or conditions that, individually or collectively, may cast significant doubt on the Company's ability to continue as a going concern for a period of at least twelve months from when the financial statements are authorised for issue.

Our responsibilities and the responsibilities of the director with respect to going concern are described in the relevant sections of this report.

Other information

The other information comprises the information included in the Annual Report other than the financial statements and our Auditors' report thereon. The director is responsible for the other information contained within the Annual Report. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon. Our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the course of the audit, or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether this gives rise to a material misstatement in the financial statements themselves. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Opinion on other matters prescribed by the Companies Act 2006

In our opinion, based on the work undertaken in the course of the audit:
- the information given in the Strategic report and the Director's report for the financial year for which the financial statements are prepared is consistent with the financial statements; and
- the Strategic report and the Director's report have been prepared in accordance with applicable legal requirements.

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Matters on which we are required to report by exception

In the light of the knowledge and understanding of the Company and its environment obtained in the course of the audit, we have not identified material misstatements in the Strategic report or the Director's report.

We have nothing to report in respect of the following matters in relation to which the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of director's remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Responsibilities of directors

As explained more fully in the Director's responsibilities statement set out on page 4, the director is responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the director determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the director is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the director either intends to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

Auditors' responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an Auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

Irregularities, including fraud, are instances of non-compliance with laws and regulations. We design procedures in line with our responsibilities, outlined above, to detect material misstatements in respect of irregularities, including fraud. The extent to which our procedures are capable of detecting irregularities, including fraud is detailed below:

Based on our understanding of the Company and industry, we identified that the principal risk of fraud or non-compliance with laws and regulations related to:
o Management bias in respect of accounting estimates and judgements made;
o Management override of control;
o Posting of unusual journals or transactions.

We focused on those areas that could give rise to a material misstatement in the Company financial statements. Our procedures included, but were not limited to:

o Enquiry of management and those charged with governance around actual and potential litigation and claims, including instances of non-compliance with laws and regulations and fraud.
o Reviewing minutes of meetings of those charged with governance where available.
o Reviewing legal expenditure in the year to identify instances of non-compliance with laws and regulations and fraud.

Report of the Independent Auditors to the Members of Savoy Cinemas Limited

o Reviewing financial statement disclosures and testing to supporting documentation to assess compliance with applicable laws and regulations.
o Performing audit work over the risk of management override of controls, including testing of journal entries and other adjustments for appropriateness, evaluating the business rationale of significant transactions outside the normal course of business and reviewing accounting estimates for bias.

It is the primary responsibility of management, with the oversight of those charged with governance, to ensure that the entity's operations are conducted in accordance with the provisions of laws and regulations and for the prevention and detection of fraud.

Because of the inherent limitations of an audit, there is a risk that we will not detect all irregularities, including those leading to a material misstatement in the financial statements or non-compliance with regulation. This risk increases the more that compliance with a law or regulation is removed from the events and transactions reflected in the financial statements, as we will be less likely to become aware of instances of non-compliance.

The risk is also greater regarding irregularities occurring due to fraud rather than error, as fraud involves intentional concealment, forgery, collusion, omission or misrepresentation. A further description of our responsibilities for the audit of the financial statements is located on the Financial Reporting Council's website at: www.frc.org.uk/auditorsresponsibilities. This description forms part of our Auditors' report.

Use of our report

This report is made solely to the Company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an Auditors' report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members, as a body, for our audit work, for this report, or for the opinions we have formed.

Signed by:
James Delve
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James Delve (Senior Statutory Auditor)
for and on behalf of PKF Smith Cooper Audit Limited
Statutory Auditors
1 Prospect Place
Millenium Way
Derby
Derbyshire
DE24 8HG

Date: 21/9/2026

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Savoy Cinemas Limited (Registered number: 04089112)

Statement of Comprehensive Income
for the Year Ended 31 December 2025

	Notes	2025 £	2024 £
TURNOVER	3	**8,604,983**	7,444,261
Cost of sales		**3,334,870**	2,872,790
GROSS PROFIT		**5,270,113**	4,571,471
Administrative expenses		**10,414,975**	3,137,602
		(5,144,862)	1,433,869
Other operating income	4	**6,970,976**	353,330
OPERATING PROFIT and PROFIT BEFORE TAXATION		**1,826,114**	1,787,199
Tax on profit	9	**457,367**	297,335
PROFIT FOR THE FINANCIAL YEAR		**1,368,747**	1,489,864
OTHER COMPREHENSIVE INCOME		**-**	-
TOTAL COMPREHENSIVE INCOME FOR THE YEAR		**1,368,747**	1,489,864

The notes form part of these financial statements

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Savoy Cinemas Limited (Registered number: 04089112)

Balance Sheet
31 December 2025

	Notes	£	2025 £	£	2024 £
FIXED ASSETS					
Tangible assets	11		**5,395,632**		7,655,625
CURRENT ASSETS					
Stocks	12	**144,210**		122,424	
Debtors	13	**691,845**		701,852	
Cash at bank and in hand		**3,701,869**		4,356,086	
		4,537,924		5,180,362	
CREDITORS					
Amounts falling due within one year	14	**1,146,708**		1,497,616	
NET CURRENT ASSETS			**3,391,216**		3,682,746
TOTAL ASSETS LESS CURRENT LIABILITIES			**8,786,848**		11,338,371
CREDITORS					
Amounts falling due after more than one year	15		**(1,240,545)**		(4,619,547)
PROVISIONS FOR LIABILITIES	17		**(593,241)**		(424,509)
NET ASSETS			**6,953,062**		6,294,315
CAPITAL AND RESERVES					
Called up share capital	18		**12,000**		12,000
Capital redemption reserve	19		**3,000**		3,000
Retained earnings	19		**6,938,062**		6,279,315
SHAREHOLDERS' FUNDS			**6,953,062**		6,294,315

The financial statements were approved by the Board of Directors and authorised for issue on 16/09/2026 and were signed on its behalf by:

Dr J R Collington - Director

The notes form part of these financial statements

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Savoy Cinemas Limited (Registered number: 04089112)

Statement of Changes in Equity
for the Year Ended 31 December 2025

	Called up share capital	Retained earnings	Revaluation reserve	Capital redemption reserve	Total equity
	£	£	£	£	£
Balance at 1 January 2024	12,000	6,843,524	1,254,758	3,000	8,113,282
Changes in equity					
Dividends	-	(3,308,831)	-	-	(3,308,831)
Total comprehensive income	-	1,489,864	-	-	1,489,864
Realised revaluation reserve	-	1,254,758	(1,254,758)	-	-
Balance at 31 December 2024	12,000	6,279,315	-	3,000	6,294,315
Changes in equity					
Dividends	-	(710,000)	-	-	(710,000)
Total comprehensive income	-	1,368,747	-	-	1,368,747
Balance at 31 December 2025	12,000	6,938,062	-	3,000	6,953,062

The notes form part of these financial statements

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1. STATUTORY INFORMATION

Savoy Cinemas Limited is a private company, limited by shares, registered in England and Wales. The company's registered number and registered office address can be found on the Company Information page.

2. ACCOUNTING POLICIES

Basis of preparing the financial statements
These financial statements have been prepared in accordance with Financial Reporting Standard 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland" and the Companies Act 2006. The financial statements have been prepared under the historical cost convention as modified by the revaluation of certain assets.

The principal accounting policies adopted in the preparation of the financial statements are set out below and have remained unchanged from the previous year, and also have been consistently applied with the same accounts.

The financial statements are prepared in Sterling which is the functional currency of the Company.

The figures within the financial statements are rounded to the nearest pound.

Corporate information
The Company is a limited company incorporated and domiciled in the United Kingdom and the registered office is located at 233 Derby Road, Nottingham, Nottinghamshire, NG7 1QN.

Principal activity
The principal activity of the Company continued to be that of a cinema operators.

Going concern
The Directors believe that the Company's financial statements should be prepared on a going concern basis and have considered a period of twelve months from the date of approval of these financial statements. After reviewing the Company's forecasts and projections, the directors have a reasonable expectation that the Company has adequate resources to continue in operational existence for at least 12 months from the signing of the financial statements. As such the Company continues to adopt the going concern basis in preparing it's financial statements.

Financial Reporting Standard 102 - reduced disclosure exemptions
The Company has taken advantage of the following disclosure exemptions in preparing these financial statements, as permitted by FRS 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland":

- the requirements of Section 7 Statement of Cash Flows;
- the requirement of paragraph 33.7 Related Party Disclosures.

continued...

2. ACCOUNTING POLICIES - continued

Turnover
Turnover represents income received from operating cinemas, excluding value added tax.

- Admissions is recognised on the date of the showing of the film it relates to.
- Screen advertising is recognised over the period the advert is shown in the cinemas.
- Concession is recognised at point of sale.
- Miscellaneous and other income is recognised in the period to which it relates.

Other operating income
Other income comprises rents receivable, government grant income and management consultancy and profit share income of another cinema.

- Rent receivable is recognised on a straight-line basis over the length of the lease.
- Government grants that are revenue in nature are credited to the income statement in the period in which the related expenditure is incurred.
- Government grants received in respect of capital assets are recognised in the income statement to systematically match to relevant expenses.

Tangible fixed assets
Tangible fixed assets under the cost model are stated at historical cost less accumulated depreciation and any accumulated impairment losses.

Depreciation is provided at the following annual rates in order to write off each asset over its estimated useful life.

Freehold Property	1% on cost
Long leasehold	straight line over the life of the lease
Fixtures & Fittings	15% on cost
Motor Vehicles	25% reducing balance
Assets under construction	None

No depreciation is provided on Assets under construction until they become available for use by the Company. Capital projects that the Company undertakes are recognised as assets under construction until the project has completed and the assets become available for use. Upon finalisation of capital projects, the assets are transferred to the appropriate asset categories and begin depreciating in line with the Company policies set.

Land and buildings are stated at cost less any subsequent depreciation and impairment losses. The directors have carried out a review at 31 December 2025.

Stocks
Stocks are valued at the lower of cost and net realisable value, after making due allowance for obsolete and slow moving items.

The cost of stock is based on the First-In, First-Out (FIFO) principal.

continued...

2. **ACCOUNTING POLICIES - continued**

Taxation

Taxation for the year comprises current and deferred tax. Tax is recognised in the Statement of Comprehensive Income, except to the extent that it relates to items recognised in other comprehensive income or directly in equity.

Current or deferred taxation assets and liabilities are not discounted.

Current tax is recognised at the amount of tax payable using the tax rates and laws that have been enacted or substantively enacted by the balance sheet date.

Deferred tax

Deferred tax is recognised in respect of all timing differences that have originated but not reversed at the balance sheet date.

Timing differences arise from the inclusion of income and expenses in tax assessments in periods different from those in which they are recognised in financial statements. Deferred tax is measured using tax rates and laws that have been enacted or substantively enacted by the year end and that are expected to apply to the reversal of the timing difference.

Unrelieved tax losses and other deferred tax assets are recognised only to the extent that it is probable that they will be recovered against the reversal of deferred tax liabilities or other future taxable profits.

Interest receivable and interest payable

Interest income and interest payable are recognised in the profit or loss as they accrue, using the effective interest method.

Hire purchase and leasing commitments

Assets obtained under hire purchase contracts and finance leases are capitalised as tangible assets and depreciated over their useful lives. Obligations under such agreements are included in creditors net of the finance charge allocated to future periods. The finance element of the rental payment is charged to the profit and loss account so as to produce constant periodic rates of charge on the net obligations outstanding in each period.

Payments made under operating leases are recognised on a straight-line basis over the term of the lease unless the payments to the lessor are structured to increase in line with expected general inflation; in which case the payments related to the structured increase are recognised as incurred. Lease incentives received are recognised over the term of the lease as an integral part if the total lease expense.

Pension costs and other post-retirement benefits

A defined contribution plan is a post-employment benefit plan under which the company pays fixed contributions into a separate entity and will have no legal or constructive obligation to pay further amounts. Obligations for contributions to defined contribution pension plans are recognised as an expense in the profit and loss account in the periods which services are rendered by employees.

continued...

2. ACCOUNTING POLICIES - continued

Basic financial instruments
Non-derivative financial instruments comprise, trade and other debtors, cash and cash equivalents and trade and other creditors.

Trade and other debtors
Trade and other debtors are recognised initially at transaction price less attributable transaction costs. If any arrangement constitutes a financing transaction, for example if payment is deferred beyond normal business terms, then it is measured at the present value of future payments discounted at a market rate of instrument for a similar debt instrument.

Cash and cash equivalents
Cash and cash equivalents comprise of cash balances and call deposits with financial institutions repayable without penalty on notice of not more than 24 hours.

Trade and other creditors
Trade and other creditors are recognised initially at transaction price plus attributable transaction costs. If any arrangement constitutes a financing transaction, for example if payment is deferred beyond normal business terms, then it is measured at the present value of future payments discounted at a market rate of instrument for a similar debt instrument.

Impairment
Financial assets (including trade and other debtors)
A financial asset not carried at fair value through profit or loss is assessed at each reporting date to determine whether there is objective evidence that it is impaired. A financial asset is impaired if objective evidence indicates that a loss event has occurred after the initial recognition of the asset, and that the loss event had a negative effect on the estimate future cash flows of that asset can be estimated reliably.

An impairment loss in respect of a financial asset measured at amortised cost is calculated as the difference between its carrying amount and the present value of the estimated future cash flows discounted at the asset's original effective interest rate. For financial instruments measured at cost less impairment an impairment is calculated as the difference between its carrying amount and the best estimate of the amount that the Company would receive for the asset if it were to be sold at the reporting date. Interest on the impaired asset continues to be recognised through the unwinding of the discount. Impairment losses are recognised in profit or loss. When subsequent events cause the amount of impairment loss to decrease, the decrease in impairment loss is reversed through profit or loss.

Non-financial assets
The carrying amounts of the Company's non-financial assets, other than stocks, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated. The recoverable amount of an asset is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

An impairment loss is recognised if the carrying amount of an asset exceeds its estimated recoverable amount. Impairment losses are recognised in profit or loss. An impairment loss is reversed if and only if the reasons for the impairment have ceased to apply.

Impairment losses recognised in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

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2. ACCOUNTING POLICIES - continued

Accounting estimates and judgements
The Directors are continually evaluating estimates and judgements based on historical experience and other factors, including expectation of future events that are believed to be reasonable under the circumstances, the resulting accounting estimates will, by definition, seldom equal the related actual results.

The estimates and assumptions which have significant risk of causing material adjustments to the carrying value of assets and liabilities are noted below:

Depreciation and impairment - as detailed above depreciation is provided in order to write the assets off over their estimated useful life and an additional impairment charge is included where the value of the asset is considered to be in excess of its market value.

3. TURNOVER

The turnover and profit before taxation are attributable to the one principal activity of the Company.

An analysis of turnover by class of business is given below:

	2025	2024
	£	£
Admissions	**4,883,513**	4,215,576
Screen advertising	**418,488**	316,935
Concessions	**2,920,247**	2,568,180
Miscellaneous	**234,968**	241,232
Other income	**147,767**	102,338
	8,604,983	7,444,261

Turnover in the current and prior year has arisen from sales made within the United Kingdom.

4. OTHER OPERATING INCOME

	2025	2024
	£	£
Rent and consultancy income	194,153	166,131
Investment income	201,767	187,199
Capital Grant release	6,575,056	-
	6,970,976	353,330

5. EMPLOYEES AND DIRECTORS

	2025	2024
	£	£
Wages and salaries	**1,884,580**	1,421,496
Social security costs	**152,285**	89,657
Other pension costs	**52,720**	46,518
	2,089,585	1,557,671

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5. EMPLOYEES AND DIRECTORS - continued

The average number of employees during the year was as follows:

	2025	2024
Cinema workers	**103**	81
Administrative	**21**	17
Directors	**2**	2
	126	100

6. DIRECTORS' EMOLUMENTS

	2025	2024
	£	£
Directors' remuneration	**105,200**	94,200
Directors' pension contributions to money purchase schemes	**24,600**	24,600

The number of directors to whom retirement benefits were accruing was as follows:

Money purchase schemes	**2**	2

7. OPERATING PROFIT

The operating profit is stated after charging/(crediting):

	2025	2024
	£	£
Other operating leases	**207,325**	183,545
Depreciation - owned assets	**614,079**	441,961
Loss/(profit) on disposal of fixed assets	**1,399,356**	(10,270)
Capital grant release	**(6,575,056)**	-
Impairment losses for tangible fixed assets	**5,109,351**	-

8. AUDITORS' REMUNERATION

	2025	2024
	£	£
Fees payable to the Company's auditors for the audit of the Company's financial statements	**10,500**	10,250

continued...

9. TAXATION

Analysis of the tax charge
The tax charge on the profit for the year was as follows:

	2025	2024
	£	£
Current tax:		
UK corporation tax	**290,000**	290,290
Prior year tax adjustment	**(1,365)**	-
Total current tax	**288,635**	290,290
Deferred tax:		
Current year	**168,732**	7,045
Tax on profit	**457,367**	297,335

Reconciliation of total tax charge included in profit and loss
The tax assessed for the year is higher than the standard rate of corporation tax in the UK. The difference is explained below:

	2025	2024
	£	£
Profit before tax	**1,826,114**	1,787,199
Profit multiplied by the standard rate of corporation tax in the UK of 25% (2024 - 25%)	**456,529**	446,800
Effects of:		
Expenses not deductible for tax purposes	**5,496**	2,458
Adjustments to tax charge in respect of previous periods	**(1,365)**	5,661
Depreciation on freehold	**13,193**	2,365
Permanent timing differences relating to fixed assets	**(16,486)**	(159,949)
Total tax charge	**457,367**	297,335

The UK corporation tax rate for the year ended 31 December 2025 is 25% (2024: 25%). Deferred taxes at 31 December 2025 have been measured using this enacted tax rate and reflected in these financial statements.

10. DIVIDENDS

	2025	2024
	£	£
Ordinary shares of £1 each		
Interim	**710,000**	3,308,831

Dividends of £710,000 (2024: £3,308,831) were paid to Collington Holdings Limited.

continued...

11. **TANGIBLE FIXED ASSETS**

	Freehold property £	Long leasehold £	Asset under construction £
COST			
At 1 January 2025	-	1,138,724	4,681,085
Additions	-	-	4,355,140
Disposals	-	-	(1,406,016)
Reclassification/transfer	7,109,351	-	(7,630,209)
At 31 December 2025	7,109,351	1,138,724	-
DEPRECIATION			
At 1 January 2025	-	34,967	-
Charge for year	35,547	17,226	-
Impairments	5,109,351	-	-
At 31 December 2025	5,144,898	52,193	-
NET BOOK VALUE			
At 31 December 2025	1,964,453	1,086,531	-
At 31 December 2024	-	1,103,757	4,681,085

	Fixtures and fittings £	Motor vehicles £	Totals £
COST			
At 1 January 2025	4,278,394	160,429	10,258,632
Additions	514,313	-	4,869,453
Disposals	-	-	(1,406,016)
Reclassification/transfer	520,858	-	-
At 31 December 2025	5,313,565	160,429	13,722,069
DEPRECIATION			
At 1 January 2025	2,480,518	87,522	2,603,007
Charge for year	543,080	18,226	614,079
Impairments	-	-	5,109,351
At 31 December 2025	3,023,598	105,748	8,326,437
NET BOOK VALUE			
At 31 December 2025	2,289,967	54,681	5,395,632
At 31 December 2024	1,797,876	72,907	7,655,625

continued...

11. TANGIBLE FIXED ASSETS - continued

The Company has been constructing a new cinema at Gainsborough. During the year this was brought into use. Now that trading has begun, the directors have valued the cinema at an appropriate multiple of EBITDA for the industry. Accordingly the asset has been impaired to this value and government grant funding has been released to match this expense.

At the prior year end fixed assets pledged as security totalled £5,590,668, the charge has been satisfied during the current year.

12. STOCKS

	2025	2024
	£	£
Finished goods	**144,210**	122,424

13. DEBTORS: AMOUNTS FALLING DUE WITHIN ONE YEAR

	2025	2024
	£	£
Trade debtors	**241,474**	212,682
Other debtors	**72,500**	64,937
Prepayments and accrued income	**377,871**	424,233
	691,845	701,852

14. CREDITORS: AMOUNTS FALLING DUE WITHIN ONE YEAR

	2025	2024
	£	£
Payments on account	**101,103**	119,213
Trade creditors	**424,650**	877,072
Tax	**46,954**	109,629
Social security and other taxes	**255,309**	32,116
Other creditors	**14,916**	39,190
Accruals and deferred income	**303,776**	320,396
	1,146,708	1,497,616

continued...

15. CREDITORS: AMOUNTS FALLING DUE AFTER MORE THAN ONE YEAR

Deferred government grants		**2025**	2024
		£	£
Brought forward		**4,619,547**	737,900
Received in year		**3,196,054**	3,881,647
Released in year:			
	- Loss on disposal	**(1,406,016)**	-
	- Impairment	**(5,109,351)**	-
	- Depreciation	**(59,689)**	-
Carried forward		**1,240,545**	4,619,547

The company has received to date £7,815,601 (2024: £4,619,547) as a capital government grant towards the costs of constructing a new cinema and associated retail units in Gainsborough.

During the year the project was completed, there are no outstanding conditions to meet and therefore the grant will not become repayable.

Title of the retail units that were constructed has been transferred to the West Lindsey District Council and a portion of the grant has been released to offset this loss on disposal. The remaining freehold buildings have been impaired to recoverable amount and further grant income has been released to offset this expense.

At the prior year end The West Lindsey District council held first legal charge over the premises. The charge has been satisfied during the year.

16. LEASING AGREEMENTS

Minimum lease payments under non-cancellable operating leases fall due as follows:

	2025	2024
	£	£
Within one year	**171,167**	177,603
Between one and five years	**679,520**	680,807
In more than five years	**1,834,246**	2,004,126
	2,684,933	2,862,536

17. PROVISIONS FOR LIABILITIES

	2025	2024
	£	£
Deferred tax	**593,241**	424,509

continued...

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17. PROVISIONS FOR LIABILITIES - continued

	Deferred tax
	£
Balance at 1 January 2025	**424,509**
Provided during year	**168,732**
Balance at 31 December 2025	**593,241**

The following are the major deferred tax (assets)/liabilities recognised by the Company.

	2025	2024
	£	£
Capital allowances in excess of depreciation	593,241	424,509
	593,241	424,509

18. CALLED UP SHARE CAPITAL

Allotted, issued and fully paid:

Number:	Class:	Nominal value:	**2025** £	2024 £
12,000	Ordinary	£1	**12,000**	12,000

19. RESERVES

Retained earnings - includes all current and prior period retained profits and losses.

The capital redemption reserve relates to the Company purchasing its own shares in 2018.

20. PENSION COMMITMENTS

The Company operates a defined contributions pension scheme. The assets of the scheme are held separately from those of the Company in an independently administered fund. The pension cost charge represents contributions payable by the Company to the fund and amounted to £52,720 (2024 - £46,518). Contributions totalling £1,496 were owing to the fund at the balance sheet date (2024 - £627).

continued...

21. RELATED PARTY DISCLOSURES

The board considers that there are no key management personnel other than the directors and shareholders of the Company.

During the year the Company made purchases from other entities that have Directors in common totalling £24,943 (2024: £32,241). The purchases were made under normal trading conditions at market rates. Amount totalling £0 (2024: £1,374) were outstanding at the year end.

During the year the Company generated sales with other entities that have Directors in common totalling £59,715 (2024: £63,226). The sales were generated under normal trading conditions at market rates. Amounts totalling £0 (2024: £16,070) were outstanding at the year end.

22. ULTIMATE CONTROLLING PARTY

The Company's immediate and ultimate parent company is Collington Holdings Limited, a UK registered company which owns 100% of the issued share capital in Savoy Cinemas Limited. The ultimate controlling party is J R Collington who owns 100% of the issued shares in Collington Holdings Limited.

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REGISTERED NUMBER: 13077543 (England and Wales)

Group Strategic Report, Report of the Director and Consolidated Financial Statements for the Year Ended 31 December 2025 for Collington Holdings Limited

Docusign Envelope ID: 23198488-C9CB-8328-832D-757EC26EDB3E

Collington Holdings Limited (Registered number: 13077543)

Contents of the Consolidated Financial Statements
for the Year Ended 31 December 2025

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Collington Holdings Limited

Company Information
for the Year Ended 31 December 2025

DIRECTOR:	Dr J R Collington
REGISTERED OFFICE:	233 Derby Road Nottingham NG7 1QN
REGISTERED NUMBER:	13077543 (England and Wales)
AUDITORS:	PKF Smith Cooper Audit Limited Statutory Auditors 1 Prospect Place Millenium Way Derby Derbyshire DE24 8HG

Collington Holdings Limited (Registered number: 13077543)

Group Strategic Report
for the Year Ended 31 December 2025

The director presents his strategic report of the Company and the Group for the year ended 31 December 2025.

REVIEW OF THE BUSINESS AND FUTURE DEVELOPMENTS
"It is often the small steps, not the giant leaps, that bring about the most lasting change." 1

The directors are pleased to report another excellent set of accounts for 2025, with further sustained growth of both EBITDA and Balance Sheet.

The early months of 2025 showed a significant uplift on the corresponding period in 2024, continuing to demonstrate the power of the big screen experience that only cinema can provide. Titles included A Minecraft Movie, Bridget Jones: Mad About the Boy & Lilo & Stitch. That positive start to the year was not matched during the second half of the year due to a weaker slate, with the underperformance of a number of titles leading to the erosion of that early gain. Consequently, the complete year across the sector was only marginally higher than the previous year.

Looking ahead, the first 8 months of 2026 have outperformed the same period for 2025, with a comprehensive upcoming slate of further blockbusters including Avengers Doomsday & Dune: Part Three now looking very likely to result in a more significant overall increase when compared to 2025.

The post-pandemic trend of increasing theatrical windows has continued and is now typically between 40 and 60 days, with significantly longer periods for some major films. This is a welcome continuation, encouraging patrons to see films as they were meant to be seen - on the big screen.

During 2025, Savoy completed the flagship town centre redevelopment of Gainsborough in partnership with West Lindsey District Council, ultimately leading to the addition of the freehold of the new Savoy Cinema and car park, in the heart of the town centre, to the company's portfolio. The cinema opened in July 2025 and has delivered solid trading figures, in-line with expectations.

For the existing estate, the completion of Grantham's upgrade to luxury seating was concluded, along with a large solar and battery storage system being added to that site to continue the company's drive on sustainability. Significant improvements continue to be made to HVAC systems, in order to further reduce our carbon footprint.

The company is currently progressing a further freehold development, due to open early 2028, and continues to assess the market for further opportunities. Healthy cash reserves, with no bank debt, have been maintained.

1 With acknowledgement to Queen Elizabeth II

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PRINCIPAL RISKS AND UNCERTAINTIES

The Board has reviewed the principal risks and uncertainties faced by the Group which are summarised as follows:

Alternative media streams
Continuing development of technology is increasing competition as they offer alternative methods of film releasing which could reduce revenue.

Timeliness and appeal of film releases
A low level and appeal of film releases to the customer could reduce revenue.

Revenue from retail sales
Retail sales can fluctuate in line with admissions, therefore if admissions fall so could revenue from retail sales.

Revenue from screen advertising
Competitive pressure for advertising spending, if admissions fall then cinema advertising may not be seen to be an effective form of spending and therefore reducing advertising revenue.

Regulatory breaches
The Group is affected by regulations within environment, health and safety, licensing, food and drink, data protection and minimum wage. Failure to comply with such regulations could result in fines or loss of activity.

Extreme weather
Unusual weather patterns can directly affect attendance and therefore revenue.

The board regularly monitor and react to the principal risks and uncertainties faced by the Group in order to reduce the risk and any impact on revenue.

KEY PERFORMANCE INDICATORS

The Board monitors the progress of the Group against its strategic objectives by reference to a number of Key Performance Indicators (KPI's). The KPI's that the Board monitor are turnover and EBITDA as detailed below:

	2025 £	2024 £
Turnover	**8,604,983**	7,444,261
EBITDA		
Operating profit	**1,826,114**	1,787,199
Depreciation	**614,079**	441,961
	2,440,193	2,229,160

For further comments on turnover please refer to the review of the business and future developments within this strategic report.

ON BEHALF OF THE BOARD:

J R Collington

Dr J R Collington - Director

Date: 16/09/2026

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Collington Holdings Limited (Registered number: 13077543)

Report of the Director
for the Year Ended 31 December 2025

The director presents his report with the financial statements of the Company and the Group for the year ended 31 December 2025.

DIVIDENDS
Dividends of £460,000 (2024: £380,000) was paid the sole shareholder James Collington. No further dividends are recommended.

DIRECTOR
Dr J R Collington held office during the whole of the period from 1 January 2025 to the date of this report.

DONATIONS
Donations of £5,255 (2024: £5,785) were made in the year to UK charities.

STATEMENT OF DIRECTOR'S RESPONSIBILITIES
The director is responsible for preparing the Group Strategic Report, the Report of the Director and the financial statements in accordance with applicable law and regulations.

Company law requires the director to prepare financial statements for each financial year. Under that law the director has elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law). Under company law the director must not approve the financial statements unless he is satisfied that they give a true and fair view of the state of affairs of the Company and the Group and of the profit or loss of the Group for that period. In preparing these financial statements, the director is required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business.

The director is responsible for keeping adequate accounting records that are sufficient to show and explain the Company's and the Group's transactions and disclose with reasonable accuracy at any time the financial position of the Company and the Group and enable him to ensure that the financial statements comply with the Companies Act 2006. He is also responsible for safeguarding the assets of the Company and the Group and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

STATEMENT AS TO DISCLOSURE OF INFORMATION TO AUDITORS
So far as the director is aware, there is no relevant audit information (as defined by Section 418 of the Companies Act 2006) of which the Group's auditors are unaware, and he has taken all the steps that he ought to have taken as a director in order to make himself aware of any relevant audit information and to establish that the Group's auditors are aware of that information.

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Collington Holdings Limited (Registered number: 13077543)

Report of the Director
for the Year Ended 31 December 2025

AUDITORS
The auditors, PKF Smith Cooper Audit Limited, will be proposed for re-appointment at the forthcoming Annual General Meeting.

ON BEHALF OF THE BOARD:

J R Collington .....
Dr J R Collington - Director

Date: 16/09/2026

Docusign Envelope ID: 23198488-C9CB-8328-832D-757EC26EDB3E

Report of the Independent Auditors to the Members of Collington Holdings Limited

Opinion

We have audited the financial statements of Collington Holdings Limited (the 'parent Company') and its subsidiaries (the 'Group') for the period ended 31 December 2025, which comprise the Group Statement of comprehensive income, the Group and Company Balance sheets, the Group Statement of cash flows, the Group and Company Statement of changes in equity and the related notes, including a summary of significant accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including Financial Reporting Standard 102 'The Financial Reporting Standard applicable in the UK and Republic of Ireland' (United Kingdom Generally Accepted Accounting Practice).

In our opinion the financial statements:

- give a true and fair view of the state of the Group's and of the parent Company's affairs as at 31 December 2025 and of the Group's profit for the period then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the Auditors' responsibilities for the audit of the financial statements section of our report. We are independent of the Group in accordance with the ethical requirements that are relevant to our audit of the financial statements in the United Kingdom, including the Financial Reporting Council's Ethical Standard and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Conclusions relating to going concern

In auditing the financial statements, we have concluded that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate.

Based on the work we have performed, we have not identified any material uncertainties relating to events or conditions that, individually or collectively, may cast significant doubt on the Group's or the parent Company's ability to continue as a going concern for a period of at least twelve months from when the financial statements are authorised for issue.

Our responsibilities and the responsibilities of the directors with respect to going concern are described in the relevant sections of this report.

Other information

The other information comprises the information included in the Annual Report other than the financial statements and our Auditors' report thereon. The directors are responsible for the other information contained within the Annual Report. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon. Our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the course of the audit, or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether this gives rise to a material misstatement in the financial statements themselves. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

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Report of the Independent Auditors to the Members of Collington Holdings Limited

Opinion on other matters prescribed by the Companies Act 2006

In our opinion, based on the work undertaken in the course of the audit:
- the information given in the Group strategic report and the Directors' report for the financial period for which the financial statements are prepared is consistent with the financial statements; and
- the Group strategic report and the Directors' report have been prepared in accordance with applicable legal requirements.

Matters on which we are required to report by exception

In the light of the knowledge and understanding of the Group and the parent Company and its environment obtained in the course of the audit, we have not identified material misstatements in the Group strategic report or the Directors' report.

We have nothing to report in respect of the following matters in relation to which the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept by the parent Company, or returns adequate for our audit have not been received from branches not visited by us; or
- the parent Company financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Responsibilities of directors

As explained more fully in the Directors' responsibilities statement set out on page 5, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the Group's and the parent Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Group or the parent Company or to cease operations, or have no realistic alternative but to do so.

Auditors' responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an Auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these Group financial statements.

Irregularities, including fraud, are instances of non-compliance with laws and regulations. We design procedures in line with our responsibilities, outlined above, to detect material misstatements in respect of irregularities, including fraud. The extent to which our procedures are capable of detecting irregularities, including fraud is detailed below:

Based on our understanding of the Group and industry, we identified that the principal risk of fraud or non-compliance with laws and regulations related to:
o Management bias in respect of accounting estimates and judgements made;
o Management override of control;
o Posting of unusual journals or transactions;
o Significant cash-based transactions.

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We focused on those areas that could give rise to a material misstatement in the Group financial statements. Our procedures included, but were not limited to:

o Enquiry of management and those charged with governance around actual and potential litigation and claims, including instances of non-compliance with laws and regulations and fraud.
o Reviewing minutes of meetings of those charged with governance where available.
o Reviewing legal expenditure in the year to identify instances of non-compliance with laws and regulations and fraud.
o Reviewing financial statement disclosures and testing to supporting documentation to assess compliance with applicable laws and regulations.
o Performing audit work over the risk of management override of controls, including testing of journal entries and other adjustments for appropriateness, evaluating the business rationale of significant transactions outside the normal course of business and reviewing accounting estimates for bias.

It is the primary responsibility of management, with the oversight of those charged with governance, to ensure that the entity's operations are conducted in accordance with the provisions of laws and regulations and for the prevention and detection of fraud.

Because of the inherent limitations of an audit, there is a risk that we will not detect all irregularities, including those leading to a material misstatement in the financial statements or non-compliance with regulation. This risk increases the more that compliance with a law or regulation is removed from the events and transactions reflected in the financial statements, as we will be less likely to become aware of instances of non-compliance. The risk is also greater regarding irregularities occurring due to fraud rather than error, as fraud involves intentional concealment, forgery, collusion, omission or misrepresentation.

A further description of our responsibilities for the audit of the financial statements is located on the Financial Reporting Council's website at: www.frc.org.uk/auditorsresponsibilities. This description forms part of our Auditors' report.

Use of our report

This report is made solely to the Company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an Auditors' report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members, as a body, for our audit work, for this report, or for the opinions we have formed.

Signed by:
James Delve
005D8528CD6F4EC...

James Delve (Senior Statutory Auditor)
for and on behalf of PKF Smith Cooper Audit Limited
Statutory Auditors
1 Prospect Place
Millenium Way
Derby
Derbyshire
DE24 8HG

Date: 21/9/2026

Docusign Envelope ID: 23198488-C9CB-8328-832D-757EC26EDB3E

Collington Holdings Limited (Registered number: 13077543)

Consolidated Income Statement
for the Year Ended 31 December 2025

	Notes	2025 £	2024 £
TURNOVER	3	**8,604,983**	7,444,261
Cost of sales		**3,334,870**	2,872,790
GROSS PROFIT		**5,270,113**	4,571,471
Administrative expenses		**10,414,975**	3,137,602
		(5,144,862)	1,433,869
Other operating income	4	**6,970,976**	353,330
OPERATING PROFIT	7	**1,826,114**	1,787,199
Interest receivable and similar income		**807**	-
PROFIT BEFORE TAXATION		**1,826,921**	1,787,199
Tax on profit	9	**457,367**	439,746
PROFIT FOR THE FINANCIAL YEAR		**1,369,554**	1,347,453
Profit attributable to: Owners of the parent		**1,369,554**	1,347,453

The notes on pages 17 to 29 form part of these financial statements

Docusign Envelope ID: 23198488-C9CB-8328-832D-757EC26EDB3E

Collington Holdings Limited (Registered number: 13077543)

Consolidated Other Comprehensive Income
for the Year Ended 31 December 2025

	Notes	2025 £	2024 £
PROFIT FOR THE YEAR		**1,369,554**	1,347,453
OTHER COMPREHENSIVE INCOME			
Revaluation movement		-	(1,397,169)
Income tax relating to other comprehensive income		-	142,411
OTHER COMPREHENSIVE INCOME FOR THE YEAR, NET OF INCOME TAX		-	(1,254,758)
TOTAL COMPREHENSIVE INCOME FOR THE YEAR		**1,369,554**	92,695
Total comprehensive income attributable to:			
Owners of the parent		**1,369,554**	92,695

The notes on pages 17 to 29 form part of these financial statements

Docusign Envelope ID: 23198488-C9CB-8328-832D-757EC26EDB3E

Collington Holdings Limited (Registered number: 13077543)

Consolidated Balance Sheet
31 December 2025

	Notes	£	2025 £	£	2024 £
FIXED ASSETS					
Tangible assets	12		**9,336,644**		11,596,637
Investments	13		-		-
			9,336,644		11,596,637
CURRENT ASSETS					
Stocks	14	**144,210**		122,424	
Debtors	15	**691,845**		701,852	
Cash at bank and in hand		**3,952,676**		4,356,086	
		4,788,731		5,180,362	
CREDITORS					
Amounts falling due within one year	16	**1,146,708**		1,497,618	
NET CURRENT ASSETS			**3,642,023**		3,682,744
TOTAL ASSETS LESS CURRENT LIABILITIES			**12,978,667**		15,279,381
CREDITORS					
Amounts falling due after more than one year	17		**(1,240,545)**		(4,619,547)
PROVISIONS FOR LIABILITIES	19		**(593,243)**		(424,509)
NET ASSETS			**11,144,879**		10,235,325
CAPITAL AND RESERVES					
Called up share capital	20		**12,000**		12,000
Capital redemption reserve	21		**3,000**		3,000
Retained earnings	21		**11,129,879**		10,220,325
SHAREHOLDERS' FUNDS			**11,144,879**		10,235,325

The financial statements were approved by the director and authorised for issue on 16/09/2026 and were signed by:

J R Collington

Dr J R Collington - Director

The notes on pages 17 to 29 form part of these financial statements

Docusign Envelope ID: 23198488-C9CB-8328-832D-757EC26EDB3E

Collington Holdings Limited (Registered number: 13077543)

Company Balance Sheet
31 December 2025

	Notes	£	2025 £	£	2024 £
FIXED ASSETS					
Tangible assets	12		**6,653,831**		6,653,831
Investments	13		**12,000**		12,000
			6,665,831		6,665,831
CURRENT ASSETS					
Cash at bank		**250,807**		-	
NET CURRENT ASSETS			**250,807**		-
TOTAL ASSETS LESS CURRENT LIABILITIES			**6,916,638**		6,665,831
PROVISIONS FOR LIABILITIES	19		**338,419**		338,419
NET ASSETS			**6,578,219**		6,327,412
CAPITAL AND RESERVES					
Called up share capital	20		**12,000**		12,000
Retained earnings	21		**6,566,219**		6,315,412
SHAREHOLDERS' FUNDS			**6,578,219**		6,327,412
Company's profit for the financial year			**710,807**		3,147,054

The financial statements were approved by the director and authorised for issue on 16/09/2026 and were signed by:

J R Collington

Dr J R Collington - Director

Docusign Envelope ID: 23198488-C9CB-8328-832D-757EC26EDB3E

Collington Holdings Limited (Registered number: 13077543)

Consolidated Statement of Changes in Equity
for the Year Ended 31 December 2025

	Called up share capital	Retained earnings	Revaluation reserve	Capital redemption reserve	Total equity
	£	£	£	£	£
Balance at 1 January 2024	12,000	9,252,872	1,254,758	3,000	10,522,630
Changes in equity					
Dividends	-	(380,000)	-	-	(380,000)
Total comprehensive income	-	1,347,453	(1,254,758)	-	92,695
Balance at 31 December 2024	12,000	10,220,325	-	3,000	10,235,325
Changes in equity					
Dividends	-	(460,000)	-	-	(460,000)
Total comprehensive income	-	1,369,554	-	-	1,369,554
Balance at 31 December 2025	12,000	11,129,879	-	3,000	11,144,879

The notes on pages 17 to 29 form part of these financial statements

Docusign Envelope ID: 23198488-C9CB-8328-832D-757EC26EDB3E

Collington Holdings Limited (Registered number: 13077543)

Company Statement of Changes in Equity
for the Year Ended 31 December 2025

	Called up share capital £	Retained earnings £	Total equity £
Balance at 1 January 2024	12,000	3,548,358	3,560,358
Changes in equity			
Dividends	-	(380,000)	(380,000)
Total comprehensive income	-	3,147,054	3,147,054
Balance at 31 December 2024	12,000	6,315,412	6,327,412
Changes in equity			
Dividends	-	(460,000)	(460,000)
Total comprehensive income	-	710,807	710,807
Balance at 31 December 2025	12,000	6,566,219	6,578,219

The notes on pages 17 to 29 form part of these financial statements

Docusign Envelope ID: 23198488-C9CB-8328-832D-757EC26EDB3E

Collington Holdings Limited (Registered number: 13077543)

Consolidated Cash Flow Statement
for the Year Ended 31 December 2025

	Notes	2025 £	2024 £
Cash flows from operating activities			
Cash generated from operations	1	**2,072,522**	2,678,394
Tax paid		**(350,000)**	(597,983)
Net cash from operating activities		**1,722,522**	2,080,411
Cash flows from investing activities			
Purchase of tangible fixed assets		**(4,869,453)**	(5,937,151)
Sale of tangible fixed assets		**6,660**	10,270
Government grant received		**3,196,054**	3,636,462
Interest received		**807**	-
Net cash from investing activities		**(1,665,932)**	(2,290,419)
Cash flows from financing activities			
Equity dividends paid		**(460,000)**	(380,000)
Net cash from financing activities		**(460,000)**	(380,000)
Decrease in cash and cash equivalents		**(403,410)**	(590,008)
Cash and cash equivalents at beginning of year	2	**4,356,086**	4,946,094
Cash and cash equivalents at end of year	2	**3,952,676**	4,356,086

The notes on pages 17 to 29 form part of these financial statements

Docusign Envelope ID: 23198488-C9CB-8328-832D-757EC26EDB3E

Notes to the Consolidated Cash Flow Statement
for the Year Ended 31 December 2025

1. RECONCILIATION OF PROFIT BEFORE TAXATION TO CASH GENERATED FROM OPERATIONS

	2025	2024
	£	£
Profit before taxation	**1,826,921**	1,787,199
Depreciation charges	**614,079**	441,961
Loss/(profit) on disposal of fixed assets	**1,399,356**	(10,270)
Impairment of fixed assets	**5,109,351**	-
Government grants	**(6,575,056)**	-
Finance income	**(807)**	-
	2,373,844	2,218,890
Increase in stocks	**(21,786)**	(44,167)
Decrease/(increase) in trade and other debtors	**10,007**	(319,177)
(Decrease)/increase in trade and other creditors	**(289,543)**	822,848
Cash generated from operations	**2,072,522**	2,678,394

2. CASH AND CASH EQUIVALENTS

The amounts disclosed on the Cash Flow Statement in respect of cash and cash equivalents are in respect of these Balance Sheet amounts:

Year ended 31 December 2025

	31.12.25	1.1.25
	£	£
Cash and cash equivalents	**3,952,676**	**4,356,086**

Year ended 31 December 2024

	31.12.24	1.1.24
	£	£
Cash and cash equivalents	4,356,086	4,946,094

3. ANALYSIS OF CHANGES IN NET FUNDS

	At 1.1.25	Cash flow	At 31.12.25
	£	£	£
Net cash			
Cash at bank and in hand	**4,356,086**	**(403,410)**	**3,952,676**
	4,356,086	**(403,410)**	**3,952,676**
Total	**4,356,086**	**(403,410)**	**3,952,676**

Docusign Envelope ID: 23198488-C9CB-8328-832D-757EC26EDB3E

1. STATUTORY INFORMATION

Collington Holdings Limited is a private company, limited by shares, registered in England and Wales. The company's registered number and registered office address can be found on the General Information page.

2. ACCOUNTING POLICIES

Basis of preparing the financial statements
These financial statements have been prepared in accordance with Financial Reporting Standard 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland" and the Companies Act 2006. The financial statements have been prepared under the historical cost convention as modified by the revaluation of certain assets.

The principal accounting policies adopted in the preparation of the financial statements are set out below and have remained unchanged from the previous year, and also have been consistently applied with the same accounts.

The financial statements are prepared in Sterling which is the functional currency of the Group.

The figures within the financial statements are rounded to the nearest pound.

Corporate information
The Company is a limited company incorporated and domiciled in the United Kingdom and the registered office is located at 233 Derby Road, Nottingham, Nottinghamshire, NG7 1QN.

Principal activity
The principal activity of the Group is that of a cinema operators.

Basis of consolidation
The group consolidated financial statements include the financial statements of the Company and its subsidiary undertaking made up to 31 December. A subsidiary is an entity that is controlled by the parent. The results of subsidiary undertakings are included in the consolidated profit and loss account from the date that control commences until the date that control ceases. Control is established when the Company has the power to govern the operating and financial policies of an entity so as to obtain benefits from its activities. All intra-group transaction, balances, income and expenses are eliminated on consolidation.

Business combinations
In December 2020 a group reconstruction was performed with the addition of a new parent company. Collington Holdings Limited was incorporated and acquired the full share capital of Savoy Cinemas Limited. As there has been no change in control the business combination has been accounted for under merger accounting. Merger account results in the parties to the combination not being required to restate assets and liabilities to fair value.

Going concern
The Directors believe that the Group's financial statements should be prepared on a going concern basis and have considered a period of twelve months from the date of approval of these financial statements. After reviewing the Group's forecasts and projections, the directors have a reasonable expectation that the Group has adequate resources to continue in operational existence for at least 12 months from the signing of the financial statements. As such the Group continues to adopt the going concern basis in preparing it's financial statements.

continued...

Docusign Envelope ID: 23198488-C9CB-8328-832D-757EC26EDB3E

2. ACCOUNTING POLICIES - continued

Turnover
Turnover represents income received from operating cinemas, excluding value added tax.

- Admissions is recognised on the date of the showing of the film it relates to.
- Screen advertising is recognised over the period the advert is shown in the cinemas.
- Concession is recognised at point of sale.
- Miscellaneous and other income is recognised in the period to which it relates.

Other operating income
Other income comprises rents receivable, government grant income and management consultancy and profit share income of another cinema.

- Rent receivable is recognised on a straight-line basis over the length of the lease.
- Government grants that are revenue in nature are credited to the income statement in the period in which the related expenditure is incurred.
- Government grants received in respect of capital assets are recognised in the income statement to systematically match to relevant expenses.

Interest receivable and interest payable
Interest income and interest payable are recognised in the profit or loss as they accrue, using the effective interest method.

Tangible fixed assets
Tangible fixed assets under the cost model, other than Land and Buildings, are stated at historical cost less accumulated depreciation and any accumulated impairment losses.

Depreciation is provided at the following annual rates in order to write off each asset over its estimated useful life.

Freehold Property	1% on cost
Long leasehold	straight line over the life of the lease
Fixtures & Fittings	15% on cost
Motor Vehicles	25% reducing balance
Assets under construction	None

No depreciation is provided on Assets under construction until they become available for use by the Capital projects that the group undertakes are recognised as assets under construction until the project has completed and the assets become available for use. Upon finalisation of capital projects, the assets are transferred to the appropriate asset categories and begin depreciating in line with the Group policies set.

Land and buildings are stated at cost less any subsequent depreciation and impairment losses. The directors have carried out a review at 31 December 2025.

Stocks
Stocks are valued at the lower of cost and net realisable value, after making due allowance for obsolete and slow moving items.

The cost of stock is based on the First-In, First-Out (FIFO) principal.

continued...

2. **ACCOUNTING POLICIES - continued**

Taxation

Taxation for the year comprises current and deferred tax. Tax is recognised in the Consolidated Income Statement, except to the extent that it relates to items recognised in other comprehensive income or directly in equity.

Current or deferred taxation assets and liabilities are not discounted.

Current tax is recognised at the amount of tax payable using the tax rates and laws that have been enacted or substantively enacted by the balance sheet date.

Deferred tax

Deferred tax is recognised in respect of all timing differences that have originated but not reversed at the balance sheet date.

Timing differences arise from the inclusion of income and expenses in tax assessments in periods different from those in which they are recognised in financial statements. Deferred tax is measured using tax rates and laws that have been enacted or substantively enacted by the year end and that are expected to apply to the reversal of the timing difference.

Unrelieved tax losses and other deferred tax assets are recognised only to the extent that it is probable that they will be recovered against the reversal of deferred tax liabilities or other future taxable profits.

Hire purchase and leasing commitments

Assets obtained under hire purchase contracts and finance leases are capitalised as tangible assets and depreciated over their useful lives. Obligations under such agreements are included in creditors net of the finance charge allocated to future periods. The finance element of the rental payment is charged to the income statement so as to produce constant periodic rates of charge on the net obligations outstanding in each period.

Payments made under operating leases are recognised on a straight-line basis over the term of the lease unless the payments to the lessor are structured to increase in line with expected general inflation; in which case the payments related to the structured increase are recognised as incurred. Lease incentives received are recognised over the term of the lease as an integral part if the total lease expense

Pension costs and other post-retirement benefits

A defined contribution plan is a post-employment benefit plan under which the Group pays fixed contributions into a separate entity and will have no legal or constructive obligation to pay further amounts. Obligations for contributions to defined contribution pension plans are recognised as an expense in the profit and loss account in the periods which services are rendered by employees.

continued...

2. ACCOUNTING POLICIES - continued

Basic financial instruments
Non-derivative financial instruments comprise, trade and other debtors, cash and cash equivalents and trade and other creditors.

Trade and other debtors
Trade and other debtors are recognised initially at transaction price less attributable transaction costs. If any arrangement constitutes a financing transaction, for example if payment is deferred beyond normal business terms, then it is measured at the present value of future payments discounted at a market rate of instrument for a similar debt instrument.

Cash and cash equivalents
Cash and cash equivalents comprise cash balances and call deposits with financial institutions repayable without penalty on notice of not more than 24 hours.

Trade and other creditors
Trade and other creditors are recognised initially at transaction price plus attributable transaction costs. If any arrangement constitutes a financing transaction, for example if payment is deferred beyond normal business terms, then it is measured at the present value of future payments discounted at a market rate of instrument for a similar debt instrument.

Impairment
Financial assets (including trade and other debtors)
A financial asset not carried at fair value through profit or loss is assessed at each reporting date to determine whether there is objective evidence that it is impaired. A financial asset is impaired if objective evidence indicates that a loss event has occurred after the initial recognition of the asset, and that the loss event had a negative effect on the estimate future cash flows of that asset can be estimated reliably.

An impairment loss in respect of a financial asset measured at amortised cost is calculated as the difference between its carrying amount and the present value of the estimated future cash flows discounted at the asset's original effective interest rate. For financial instruments measured at cost less impairment an impairment is calculated as the difference between its carrying amount and the best estimate of the amount that the Group would receive for the asset if it were to be sold at the reporting date. Interest on the impaired asset continues to be recognised through the unwinding of the discount. Impairment losses are recognised in profit or loss. When subsequent events cause the amount of impairment loss to decrease, the decrease in impairment loss is reversed through profit or loss.

Non-financial assets
The carrying amounts of the Group's non-financial assets, other than stocks, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated. The recoverable amount of an asset is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

An impairment loss is recognised if the carrying amount of an asset exceeds its estimated recoverable amount. Impairment losses are recognised in profit or loss. An impairment loss is reversed if and only if the reasons for the impairment have ceased to apply.

Impairment losses recognised in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

continued...

2. ACCOUNTING POLICIES - continued

Accounting estimates and judgements
The Directors are continually evaluating estimates and judgements based on historical experience and other factors, including expectation of future events that are believed to be reasonable under the circumstances, the resulting accounting estimates will, by definition, seldom equal the related actual results.

Group
The estimates and assumptions which have significant risk of causing material adjustments to the carrying value of assets and liabilities are noted below:

Depreciation and impairment - as detailed above depreciation is provided in order to write the assets off over their estimated useful life and an additional impairment charge is included where the value of the asset is considered to be in excess of its market value..

Company
The director does not consider there to be any key sources of estimation uncertainty, other than not providing for depreciation on freehold property in the Parent Company accounts on the basis that the estimated residual value of the buildings are not materially different from the carrying value of the building.

3. TURNOVER

The turnover and profit before taxation are attributable to the one principal activity of the Group.

An analysis of turnover by class of business is given below:

	2025	2024
	£	£
Admissions	**4,883,513**	4,215,576
Screen advertising	**418,488**	316,935
Concessions	**2,920,247**	2,568,180
Miscellaneous	**234,968**	241,232
Other income	**147,767**	102,338
	8,604,983	7,444,261

4. OTHER OPERATING INCOME

	2025	2024
	£	£
Rent and consultancy income	194,153	166,131
Investment income	201,767	187,199
Capital grant release	6,575,056	-
	6,970,976	353,330

continued...

5. EMPLOYEES AND DIRECTORS

	2025	2024
	£	£
Wages and salaries	1,884,580	1,421,496
Social security	152,285	89,657
Other pension costs	52,720	46,518
	2,089,585	1,557,671

The average number of employees during the year was as follows:

	2025	2024
Cinema workers	103	82
Administrative	21	17
Directors	2	2
	126	100

Company
The Company had £nil (2024: £Nil) employees during the current or prior year.

6. DIRECTORS' EMOLUMENTS

	2025	2024
	£	£
Director's remuneration	**105,200**	12,000
Director's pension contributions to money purchase schemes	**24,600**	12,600

The number of directors to whom retirement benefits were accruing was as follows:

Money purchase schemes	**1**	1

7. OPERATING PROFIT

The operating profit is stated after charging/(crediting):

	2025	2024
	£	£
Other operating leases	**207,325**	183,545
Depreciation - owned assets	**614,079**	441,961
Loss/(profit) on disposal of fixed assets	**1,399,356**	(10,270)
Capital grant release	**(6,575,056)**	-
Impairment losses for tangible fixed assets	**5,109,351**	-

continued...

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8. AUDITORS' REMUNERATION

	2025	2024
	£	£
Fees payable to the Company's auditors for the audit of the Company's financial statements	**10,500**	10,250

9. TAXATION

Analysis of the tax charge
The tax charge on the profit for the year was as follows:

	2025	2024
	£	£
Current tax:		
UK corporation tax	**290,000**	290,290
Prior year tax adjustment	**(1,365)**	-
Total current tax	**288,635**	290,290
Deferred tax:		
Current year	**168,732**	149,456
Tax on profit	**457,367**	439,746

UK corporation tax has been charged at 25% (2024 - 25%).

Reconciliation of total tax charge included in profit and loss
The tax assessed for the year is higher than the standard rate of corporation tax in the UK. The difference is explained below:

	2025	2024
	£	£
Profit before tax	**1,826,921**	1,787,199
Profit multiplied by the standard rate of corporation tax in the UK of 25% (2024 - 25%)	**456,730**	446,800
Effects of:		
Expenses not deductible for tax purposes	**5,295**	2,458
Adjustments to tax charge in respect of previous periods	**(1,365)**	5,661
Depreciation on freehold	**13,193**	2,365
Permanent timing differences relating to fixed assets	**(16,486)**	(17,538)
Total tax charge	**457,367**	439,746

Tax effects relating to effects of other comprehensive income

There were no tax effects for the year ended 31 December 2025.

continued...

9. **TAXATION - continued**

	Gross	Tax	2024 Net
	£	£	£
Revaluation movement	(1,397,169)	142,411	(1,254,758)

The UK corporation tax rate for the year ended 31 December 2025 is 25% (2024: 25%). Deferred taxes at 31 December have been measured using this enacted tax rate and reflected in these financial statements.

10. **INDIVIDUAL INCOME STATEMENT**

As permitted by Section 408 of the Companies Act 2006, the Statement of Comprehensive Income of the parent company is not presented as part of these financial statements.

11. **DIVIDENDS**

	2025	2024
	£	£
Interim	**460,000**	380,000

12. **TANGIBLE FIXED ASSETS**

Group

	Freehold property	**Long leasehold**	**Asset under construction**
	£	**£**	**£**
COST			
At 1 January 2025	**4,318,105**	**1,138,724**	**4,681,085**
Additions	**-**	**-**	**4,355,140**
Disposals	**-**	**-**	**(1,406,016)**
Reclassification/transfer	**7,109,351**	**-**	**(7,630,209)**
At 31 December 2025	**11,427,456**	**1,138,724**	**-**
DEPRECIATION			
At 1 January 2025	**377,093**	**34,967**	**-**
Charge for year	**35,547**	**17,226**	**-**
Impairments	**5,109,351**	**-**	**-**
At 31 December 2025	**5,521,991**	**52,193**	**-**
NET BOOK VALUE			
At 31 December 2025	**5,905,465**	**1,086,531**	**-**
At 31 December 2024	3,941,012	1,103,757	4,681,085

continued...

12. TANGIBLE FIXED ASSETS - continued

Group

	Fixtures and fittings £	Motor vehicles £	Totals £
COST			
At 1 January 2025	**4,278,394**	**160,429**	**14,576,737**
Additions	**514,313**	**-**	**4,869,453**
Disposals	**-**	**-**	**(1,406,016)**
Reclassification/transfer	**520,858**	**-**	**-**
At 31 December 2025	**5,313,565**	**160,429**	**18,040,174**
DEPRECIATION			
At 1 January 2025	**2,480,518**	**87,522**	**2,980,100**
Charge for year	**543,080**	**18,226**	**614,079**
Impairments	**-**	**-**	**5,109,351**
At 31 December 2025	**3,023,598**	**105,748**	**8,703,530**
NET BOOK VALUE			
At 31 December 2025	**2,289,967**	**54,681**	**9,336,644**
At 31 December 2024	1,797,876	72,907	11,596,637

The Group has been constructing a new cinema at Gainsborough. During the year this was brought into use. Now that trading has begun, the directors have valued the cinema at an appropriate multiple of EBITDA for the industry. Accordingly the asset has been impaired to this value and government grant funding has been released to match this expense.

At the prior year end fixed assets pledged as security totalled £5,590,668, the charge has been satisfied during the current year.

Company

	Freehold property £
COST	
At 1 January 2025 and 31 December 2025	**6,653,831**
NET BOOK VALUE	
At 31 December 2025	**6,653,831**
At 31 December 2024	6,653,831

continued...

13. FIXED ASSET INVESTMENTS

Company

	Shares in group undertakings £
COST	
At 1 January 2025 and 31 December 2025	**12,000**
NET BOOK VALUE	
At 31 December 2025	**12,000**
At 31 December 2024	12,000

14. STOCKS

	Group	
	2025	2024
	£	£
Finished goods	**144,210**	122,424

15. DEBTORS: AMOUNTS FALLING DUE WITHIN ONE YEAR

	Group	
	2025	2024
	£	£
Trade debtors	**241,474**	212,682
Other debtors	**72,500**	64,937
Prepayments and accrued income	**377,871**	424,233
	691,845	701,852

16. CREDITORS: AMOUNTS FALLING DUE WITHIN ONE YEAR

	Group	
	2025	2024
	£	£
Payments on account	**101,103**	119,213
Trade creditors	**424,650**	877,072
Tax	**46,954**	109,629
Social security and other taxes	**255,309**	32,116
Other creditors	**14,916**	39,190
Accruals and deferred income	**303,776**	320,398
	1,146,708	1,497,618

continued...

17. CREDITORS: AMOUNTS FALLING DUE AFTER MORE THAN ONE YEAR

Deferred government grants		**2025**	**2024**
		£	£
Brought forward		**4,619,547**	737,900
Received in year		**3,196,054**	3,881,647
Released in year:			
	- Loss on disposal	**(1,406,016)**	-
	- Impairment	**(5,109,351)**	-
	- Depreciation	**(59,689)**	-
Carried forward		**1,240,545**	4,619,547

The Group has received to date £7,815,601 (2024: £4,619,547) as a capital government grant towards the costs of constructing a new cinema and associated retail units in Gainsborough.

During the year the project was completed, there are no outstanding conditions to meet and therefore the grant will not become repayable.

Title of the retail units that were constructed has been transferred to the West Lindsey District Council and a portion of the grant has been released to offset this loss on disposal. The remaining freehold buildings have been impaired to recoverable amount and further grant income has been released to offset this expense.

At the prior year end The West Lindsey District council held first legal charge over the premises. The charge has been satisfied during the year.

18. LEASING AGREEMENTS

Minimum lease payments fall due as follows:

Group

	Non-cancellable operating leases	
	2025	2024
	£	£
Within one year	**171,167**	177,603
Between one and five years	**679,520**	680,807
In more than five years	**1,834,246**	2,004,126
	2,684,933	2,862,536

19. PROVISIONS FOR LIABILITIES

	Group		**Company**	
	2025	2024	**2025**	2024
	£	£	**£**	£
Deferred tax	**593,243**	424,509	**338,419**	338,419

continued...

19. PROVISIONS FOR LIABILITIES - continued

Group

	Deferred tax
	£
Balance at 1 January 2025	**424,509**
Provided during year	**168,734**
Balance at 31 December 2025	**593,243**

Company

	Deferred tax
	£
Balance at 1 January 2025	**338,419**
Balance at 31 December 2025	**338,419**

The following are the major deferred tax (assets)/liabilities recognised by the Group.

	2025	2024
	£	£
Capital allowances in excess of depreciation	593,241	424,509
	593,241	424,509

20. CALLED UP SHARE CAPITAL

Allotted, issued and fully paid:

Number:	Class:	Nominal value:	2025 £	2024 £
12,000	Ordinary	1	**12,000**	12,000

21. RESERVES

Group

	Retained earnings	Capital redemption reserve	Totals
	£	£	£
At 1 January 2025	**10,220,325**	**3,000**	**10,223,325**
Profit for the year	**1,369,554**		**1,369,554**
Dividends	**(460,000)**		**(460,000)**
At 31 December 2025	**11,129,879**	**3,000**	**11,132,879**

continued...

21. RESERVES - continued

Company

	Retained earnings £
At 1 January 2025	**6,315,412**
Profit for the year	**710,807**
Dividends	**(460,000)**
At 31 December 2025	**6,566,219**

Retained earnings - includes all current and prior period retained profits and losses.

The capital redemption reserve - relates to the Group purchasing its own shares in 2018.

22. PENSION COMMITMENTS

The Group operates a defined contributions pension scheme. The assets of the scheme are held separately from those of the Group in an independently administered fund. The pension cost charge represents contributions payable by the Group to the fund and amounted to £52,720 (2024 - £46,518). Contributions totalling £1,496 were owing to the fund at the balance sheet date (2024 - £627).

23. RELATED PARTY DISCLOSURES

The board considers that there are no key management personnel other than the directors and shareholders of the Group.

During the year the Group made purchases with other entities that have Directors in common totalling £24,943 (2024: £32,241). The purchases were made under normal trading conditions at market rates. Amount totalling £nil (2024: £1,374) were outstanding at the year end.

During the year the Group generated sales with other entities that have Directors in common totalling £59,715 (2024: £63,226). The sales were generated under normal trading conditions at market rates. Amounts totalling £nil (2024: £16,070) were outstanding at the year end.

24. ULTIMATE CONTROLLING PARTY

The ultimate controlling party is J R Collington who owns 100% of the issued shares in Collington Holdings Limited.